GST 113: NIGERIA PEOPLE AND CULTURE

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TOPIC: CONCEPT OF TRADE AND ECONOMICS FOR SELF'-RELIANCE

MODULE 7:

GENERAL INTRODUCTION

During the Stone Age, there was nothing like trade. This is because every human being tries to satisfy his needs independently. However, as society began to grow, people began to specialise in what they can do best. The outcomes of this specialization are the hunters, fruit gatherers, blacksmith, builders, farmers among others. Owing to the fact that human needs are insatiable, people can no longer satisfy all needs alone, they have exchange what they can produce to what they need but cannot produce. This exchange brought about by specialization, made communication indispensable in everyday life. Therefore, trade actually originated with the start of communication in the prehistoric times. Consequently, trading became the main facility of the prehistoric people who engaged in barter system before the introduction o money. During the Stone Age, exchange of obsidian and flints was prominent in the world. Also, the predominance of trade in mot societies during the Middle Ages made Asia the commercial nerve centre of that time. Trade routes were prominent all over the world due to the benefits derived from trade. The benefits directly increase with increase in the size of the market. Agriculture outputs, also exchange hands across the world through the trade routes. This led to the advancement of trade on timely basis and subsequent recognition of the benefits inherent in international trade.

AIM AND OBJECTIVES

The main aim of this topic is to expose students to the evolution, various stages of trade and how to become self –reliance after graduation without depending on anyone for sustenance. The objectives of the topic include the following;

- To trace the origin, growth and development of trade
- To know the meaning and concept of trade
- To trace the trend, pattern and evolutionary process of exchange economy

- To know the meaning and attributes of entrepreneurship
- To imbibe the spirit of entrepreneurship for self-reliance

SPECIFIC LEARNING OUTCOME

At the end of this module, students will be able to:

- Trace the trend, pattern and evolutionary process of exchange economy
- Give a conceptual understanding of trade channels of distribution
- Distinguish between barter and monetary system of exchange
- Discuss the prospects and challenges of barter system and how monetary set of exchange help ameliorate the challenges of barter system
- Distinguish between internal and external trade as well as their prospects and challenges
- Properly discuss the Nigerian financial system, its types and instruments
- Trace the evolution of Nigeria stock market and its various activities
- Understand the concepts of entrepreneur and entrepreneurship
- Know the qualities, benefits, challenges facing an entrepreneur and their solutions
- Imbibe the spirit of entrepreneurship for self-reliance

INTRODUCTION

Today, globalization has made the world a global village where exchange of goods and services take a central position. Trade is essential for satisfaction of human wants. It is an important social activity because the society needs uninterrupted supply of goods in order to satisfy the forever increasing and ever changing but never ending human wants. Trade is as old as human life and shall continue as long as human life exists on the earth. It enhances the standard of living, encourages peaceful co-existence and unity among societies. Thus we can say that trade is a very important social activity.

SPECIFIC OBJECTIVES

- To trace the trend, pattern and evolutionary process of exchange economy
- To know the meaning and attributes of entrepreneurship
- To imbibe the spirit of entrepreneurship for self-reliance

MAIN TEXT

Operational Definitions of Trade

Trade is the transfer of ownership of goods and services from one person or entity to another by getting something in exchange from the buyer. Trade also refers to buying and selling of goods and services for money or money’s worth. it involves transfer or exchange of goods and services for money or money’s worth. It can also be referred to as the interaction of demand and supply. This can take the form of interface between or among buyers (demand) and (sellers), electronically via e-‘commerce among others. The manufacturers or producer produces the goods, then moves on to the wholesaler, then to retailer and finally to the ultimate consumer. This chain of distribution is important because in economies production can never be complete until the products reach the final consumer. This chain of distribution can take any of the forms depending on two important factors. First, the nature of the product and second, the distance involved.

Types of Trade

Different types of trade ranging from trade by barter system to domestic and international trade are discussed under this section.

Trade by Barter System

Barter means direct exchange of goods for other goods or services. In other words, barter refers to exchange of goods and services without the use of money. For example, corn may be exchange for cloth, house for horses, bananas for oranges and so on. This type of trade was practiced in medieval era before the introduction of money driven economy.

Advantages of Trade by Barter System

- It is a simple system devoid of the complex problems of the modern monetary system such as inflation, balance of payment disequilibrium, exchange rate volatility, tariff are completely absent
- There is no question of over or under’-production. This is because under the barter system goods are produced just to meet the needs of the society since it is difficult to store them.
- The problem of international trade such as foreign exchange crisis, trade barriers, adverse balance of payments do not exist under barter system
- There is problem of concentration of economic power into the hands of a few rich persons under the barter system because there is no possibility of storing the commodities.

Difficulties of Trade Barter System

Barter system involves various difficulties and inconveniences which are as follows:

- Double Coincidence of Wants
- Absence of Common Measure of Value
- Lack of Divisibility
- Lack of Portability
- The Problem of Storing Wealth
- Difficulty of Deferred Payments
- Problem of Transportation

Internal/Domestic Trade

Internal trade also known as domestic, interregional or home trade refers to trade between persons or entities within a country (trade within the political and geographical boundaries of a country). It can be at local level, regional level or national level. Hence, trade carried out among traders of Lagos, Port Harcourt and Kano etc in Nigeria is called home, internal or domestic trade. Internal trade can be further be sub-divided into two, wholesale and retail trade.

Wholesale trade: is the kind of trade that involves buying in bulk or large quantities from producers or manufacturers and selling in lots to retailers for resale to final consumer. The wholesaler is a link between manufacturer and retailer.

Retailer trade: it involves buying in smaller lots from the wholesalers and selling in very small quantities to the consumers for personal use. The retailer is the last link in the chain of distribution. He establishes a link between wholesalers and consumers. There are different types of retailers namely small and large retailers. Small scale retailers include hawkers, peddlers general shops, etc.

Advantages of Internal/Domestic Trade

a. It involves low cost of transportation due to lack of tariff
b. There are no trade barriers
c. It enhances growth by keeping money within a country
d. It ensures quick delivery of goods due to shorter distance involved
e. It reduces dependency of the country’s economy on foreign economies

Disadvantages of Internal/Domestic Trade

a. It provide limited choice of goods and services
b. It provides limited market size for business
c. It brings about lack of globalization resulting to limited knowledge about people and culture across the world
d. It impedes the flow of skills and knowledge into the country

External/International/Foreign Trade

External trade refers to buying and selling between two or more countries. It involves transaction across the boundary of a country. International trade can be bilateral or multi-lateral. It is bilateral when it involves two countries. For example, trade relations between Nigeria and China. It is multi-lateral when it involves three or more countries. For example, trade between Nigeria and USA, China, UK, Ghana, is a good example of multi-lateral trade. External trade can further be sub-divided into three main groups, viz.,

Export Trade: When a trader from home country sells his goods to a trader located in another country, it is called export trade . it involves the selling out of goods and services produced in a country to persons or entities in other country. For example, a trader from Nigeria sells goods to a trader located in China.

Import Trade: When a trader in home country obtains or purchase goods from a trader located in another country, it is called import trade. It involves the buying of goods and services from persons or entities in other country. For example, a trader from Nigeria purchasing goods from a trader located in China.

Entrepot Trade: When goods are imported from one country and then re-exported after doing some processing, it is called entre-pot trade. In brief, it can be also called re-export of processed imported goods. For example, Chinese traders (from China) purchase some raw material from a Nigerian trader (from Nigeria), then process it i.e. convert into finished goods and then re-export to an American trader (in USA).

Advantages of International Trade

Some of the important benefits of International Trade are:

- ✓ It enhances the domestic competitiveness
- ✓ It takes advantage of international trade technology
- ✓ It provides wide range of choice of goods
- ✓ It extend sales potential of the existing products
- ✓ It maintains cost competitiveness in domestic market
- ✓ It allows countries to gains from a global market share
- ✓ It reduces dependence on existing market and thereby reduces monopolistic tendencies in the country and stabilizes seasonal market fluctuations
- ✓ It attract foreign investment

Disadvantages of International Trade

The disadvantages of foreign trade are;

a. It leads to overdependence of the developing economies on the developed economies of the world
b. It involves high cost of transaction due to tariff and custom duties
c. The involvement of long distance impedes quick delivery of goods
d. It creates problems of balance of payment in the developing nations

Problems of International trade

The following hinders the smooth running of international trade

- Difference in currency
- Language barrier
- Long distance
- Difference in socio-cultural and political ideology
- Difference in government policies

The Financial Market

Financial market is a set of facilities that make it possible for goods and services to be exchanged for money or vice versa. The financial market is a specialised form of market where only securities are traded on a regular basis. By so doing, the financial market plays a special role in facilitating the smooth running of any economic system. The financial market performs four major functions in any economy. They include:

- ✓ Shifting funds from suppliers to users
- ✓ Pricing securities
- ✓ Liquidifying securities
- ✓ Discounting the future and allocating funds and economic resources

Types of Financial Market

Basically, there are two types of financial market. They are:

The Money Market

Money has no value unless it has purchasing power and that can be proven by the supply of and demand for money. This is saying that money like any other commodity has to be traded or bought or sold. The place where such a transaction occurs is called the money market. Money market therefore, is a market where money instruments are bought and sold. It is a market where short-term securities are traded. The instruments in use in money market include treasury bills, the call money, the treasury certificate, the commercial bills and the development loan stock. Both the treasury bills and treasury certificate are known as treasury obligations.

The Capital Market

The capital market is that part of the financial market which deals in long-term securities and procedures for financing long-term investments. Thus, while those who are short of funds and need to borrow for short-term purposes borrow from the money market, those who are short of funds and are desirous of borrowing for the long-term go to the capital market. Similarly, while those who have funds surplus to their immediate requirements and wish to lend or invest them for long term periods invest or lend these funds to the capital market. The composition of Nigeria capital market includes the following; The Nigerian Stock Exchange, The Nigerian Industrial Development Bank, The Securities and Exchange Commission, The Nigerian Bank for Commerce and Industry and The Nigerian Agriculture Development Bank.

ECONOMIC OF SELF RELIANCE

Meaning of Entrepreneurship

International Labour Organization (ILO) in 2015 have an estimate of about 40 million new jobs would be needed to absorb today's youth. Due to this decline in jobs and rise unemployment entrepreneurship has been variously referred to as source of employment generation.

The word 'entrepreneurship' comes from a French word ***entreprendre*** which refers to a person who undertakes risks of a new business. It refers to the capacity required for identifying and generating innovative business ideas, mobilizing resources, organizing production, marketing the products, managing the risks and constantly working for growth and excellence of the business. On the other hand, an entrepreneur is an economic leader who possesses the ability of recognize opportunities for successful introduction of new commodities, new techniques, and new sources of supply, and to assemble the necessary plant and equipment, management, and labour force and organize them into a running concern or business. He is a person who operates a new enterprise or venture and assumes some accountability for the inherent risks.

An entrepreneur is an individual who has the ability to see and evaluate business opportunities, gather the necessary resources, start a business and once started will take appropriate actions to ensure its success. Entrepreneurs are people who have a high drive and creativity. They constantly strive to achieve success using their own efforts and they take credit of whatever outcome. Likewise, they take responsibility for any failure that may befall their business.

In brief, and entrepreneur is a person who:

Perceives his/her needs, analyses him/herself in relation to what he/she would like to be in future; Scans the environment and identifies business opportunities that he/she could possibly do in order to achieve his/her goals in life. Conducts a market survey or feasibility studies to assess the feasibility viability of the identified business opportunities so as to select the most suitable one; calculate the risks involved in doing the selected business opportunities so as to find out if he/she can reduce them to a manageable levels, and if not, leave and choose another alternative; mobilizes the necessary resources to start the selected business will be operated; regularly monitors business performance against set targets; take corrective actions to achieve his/her targets.

Major Attributes of Entrepreneurship are:

a. Self-direction
b. Self-nurturing
c. Action-oriented
d. High energy level
e. Tolerant of uncertainty

Characteristics of an Entrepreneur

The general characteristics of an entrepreneur are:

- ✓ They have high need for achievement and success
- ✓ They possess strong desire for responsibility and independence
- ✓ They have a high degree of self confidence
- ✓ They are goal-oriented
- ✓ They have capacity to adopt changing conditions
- ✓ They have the ability to organize me, materials, money and machines to achieve goals
- ✓ They are profit-oriented
- ✓ They have risk-taking ability
- ✓ Ability to innovate and speculate

Above all, a good entrepreneur must be determined, resourceful, versatile, optimistic, flexible and efficient.

Functions of an Entrepreneur

Entrepreneurs perform a number of functions from the stage of starting a business to its level of success. They are:

a. Planning
b. Organization
c. Decision – Making
d. Innovation and Creativity
e. Management
f. Risk bearing

Benefits and Challenges of being an Entrepreneur

S/N	Benefits	Challenges
1	Social recognition	Long and irregular hours of work
2	Increase income	Low level and insecurity of income
3	Improved standard o living	Low life style due to hard demanding work
4	Flexibility	Potential loss of resources invested in business
5	Developing self confidence	
6	Self-employment	

Challenges and Tasks in Business

The challenges and tasks needed to overcome them by an entrepreneur are shown in the table below;

S/N	Challenges	Tasks undertaken to meet challenges
1	Raising capital	1. Applying for a loan

		2. Sourcing credit facilities from suppliers 3. Reducing expenditure
2	Marketing goods/services	1. Advertising 2. Market assessment
3	Managing funds	1. Budgeting and budget control 2. Record keeping
4	Maximizing profits	1. Controlling costs 2. Sales promotion
5	Acquiring Stock	1. Contacting suppliers 2. Choosing best suppliers 3. Transporting goods 4. Storaging 5. Installing effective and efficient production processes producing high quality products.

Practice Exercise

1. Trade is the transfer of ownership of goods and services from one person or entity to another by getting something in exchange from the buyer. Discuss
2. The chain of distribution used by any producer depends on the nature of the product and the distance involved. Discuss
3. Using any appropriate illustration, distinguish between barter and monetary system of exchange
4. Discuss the challenges of barter system and how can the use of monetary exchange help overcome the challenges
5. With appropriate examples, distinguish between internal and external trade
6. The major difference between money and capital market lies in the nature of the securities traded and longevity of the loan. Discuss
7. Discuss some of the main instruments used in the money market
8. Nigeria stock market is an offshoot of the Lagos stock exchange. Discuss
9. Distinguish between offer for sale, offer for subscription and private placing
10. Distinguish between entrepreneur and entrepreneurship. Discuss some of the major attributes of an entrepreneur
11. Discuss some of the challenges and benefits of an entrepreneur.

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